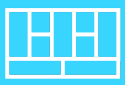
BUSINESS MODELS IN THE 20TH VS 21ST CENTURIES



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SUPER GUIDE:

BUSINESS MODELS IN THE 20TH VS 21ST CENTURIES

BY DANIEL PEREIRA



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TABLE OF CONTENTS

Introduction 6

How Business Models Evolve 7

20th Vs 21st Century Business Models 12

- Press Industry 12
- Grocery Store Industry 14
- Mobility Industry 15
- Hotel Industry 16
- Bank Industry 18
- Entertainment Industry 19
- Music Industry 20
- Travel Industry 22
- Investment Industry 23
- Education Industry 24
- Data Center Industry 25
- Law Firms Industry 26
- Software Industry 27

Conclusion 29

References 30

About The Author 31

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INTRODUCTION

One of the biggest challenges in creating successful business models is understanding what value is. Value is a simple concept, but there's much misunderstanding about it.

The importance of value is hugely underrated. If you want to create a successful business, you should always be trying to answer the question: "Where is value created?" Because when a company has clarity about the real value, it can almost predict where the value will be next.

The way value is added today is different from how it was in the past and how it will be in the future. Every company that has been alive for a while now went through shifts to add a different value than it did in the past.

Understanding what value is and how business models worked in the past and how they work nowadays is essential for business model analysts and entrepreneurs. It's a fundamental skill for those who want to be able to adapt and create successful business models now and in the future.

That's the main objective of this super guide. I hope you find useful information on it.

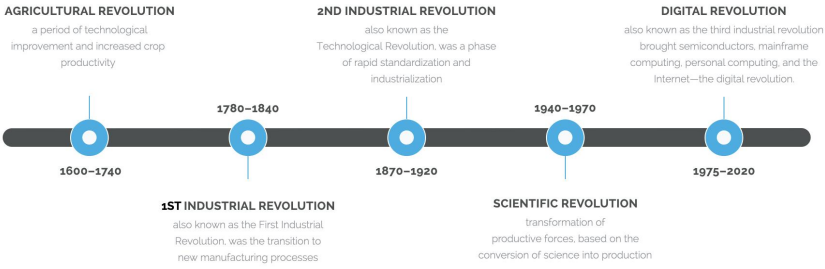
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HOW BUSINESS MODELS EVOLVE

Industries have changed the way they create, capture, and deliver value through time. On the one hand, this change is about business model shifts. However, on the other hand, it is about how new technologies influence customer behavior.

Technology fortress us to experience things in a completely different way. New technologies affect social behavior, consumption, and how businesses need to create, deliver, and capture value.

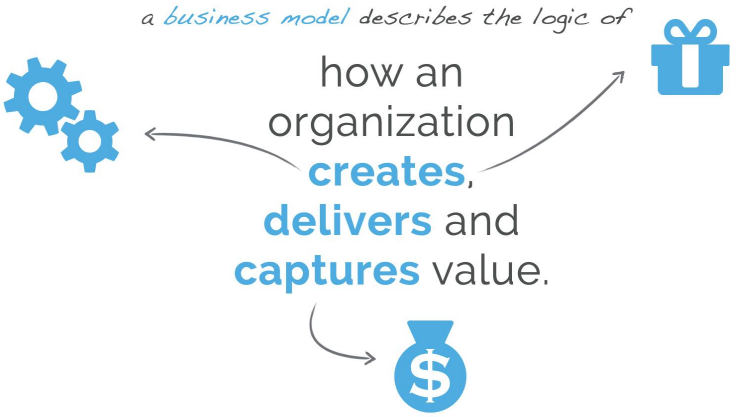
The humankind has gone through some significant technology revolutions in the past. In each one of them, new technologies influenced how companies created value and how consumers experienced the use of products and services. The chart below gives a brief idea of them:



But how have these revolutions have changed business models? Well, first, let's remind that a business model describes the logic of **how an organization creates, delivers,**

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and captures value.



This means that there are three critical components within a business model: **creating** value, **delivering** value, and **capturing** value. The business model doesn't revolve around money. It revolves around value.

Let me try better to explain each one of these three key components:

1. Value Creation. Value can be created by producing an offering (a good or service) worth more to customers than its cost to deliver. This means that if your company is expending more to provide something than its market price, then its destroying value. The value must be created and delivered to customers before any of it becomes available for capture by your company.

2. Value Delivery. If we take a more customer-centric view, we will realize that value is less "delivered" by you, and more "accepted" by your customers. The ultimate decision to do the deal always lies with the customer. Customers are willing to accept and use your value because of their awareness of your company, their belief that your offering will solve a business problem, and their expectation of improved

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operations. If you can provide effective marketing, sales, and support, then you will inevitably be asked to transfer more value to an ever-expanding number of willing customers.

3. Value Capture. This is the stage at which your organization gets paid and make a profit. The question is, how much of the total value should you take? Simple math dictates that you would get whatever amount is left after subtracting your value creation costs and delivery from the offering's sales price. But it's never that simple because of other considerations, such as your competitors' pricing, the amount of surprise-and-delight you are trying to create for your customers — naming a few. For example, you could divide some of the excess value (above and beyond a reasonable profit margin for you) with your customers so that their value-capture opportunity exceeds expectations.

Dropbox Business Case

Dropbox was founded in 2007 by MIT students Drew Houston and Arash Ferdowsi as a startup company, with initial funding from seed accelerator Y Combinator. Dropbox is a file hosting service headquartered in San Francisco, California that offers cloud storage, file synchronization, personal cloud, and client software. Let's try to analyze their ability to create, deliver, and capture value. As you will see, they have one sweet business model. What can we learn from their success?

Value Creation: Dropbox founder Drew Houston conceived the Dropbox concept after repeatedly forgetting his USB flash drive while he was a student at MIT. He began making something for his personal use but then realized that it could benefit others with the same problems. Dropbox solves the massive problem of people having to store and access digital files from multiple devices such as computers at home and work, different platforms such as Windows or Mac, mobile devices. This results in a stress-free file syncing that

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customers are willing to pay more for this service than the cost of production. Lots of value created here.

Value Delivery: Dropbox execution of marketing, sales, and support are both efficient and effective. Their efficiency comes from fulfilling all of these functions over the Internet, with very little time lost in sales. Their hit rate evidence of how effective they are in converting free users into paying customers and paying customers into raving fans. Their methods of delivering value are flawless, but they remain to release new features regularly to improve their value to their current customer base.

Value Capture: Dropbox uses a freemium business model. Users are offered a free account with a set storage size, with paid subscriptions available that provide more capacity and additional features. Dropbox Basic users receive two gigabytes of free storage space. This can expand through referrals; The Dropbox Plus subscription gives users two terabytes of storage space and additional features. Dropbox also offers Dropbox for Business with better features for teams.

Dropbox performs exceptionally well in value creation and delivery; they can enjoy a healthy profit margin. This is in addition to allowing customers to capture some of the value and offering a substantial amount of storage space. When value is properly and plentifully created and delivered, there will always be enough to go around. Generous distribution of captured value can become one of your best strategies for keeping your competition at bay.

How can you know when you've got an irresistible business model? Rapid growth, high-profit margins, favorable cash cycle, strong customer retention, and efficient sales & marketing. Dropbox arguably has all of these. They have mastered the formula with Customer Centricity + Value = $$$

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Value is the critical element of business model design and innovation. The perception of value evolves with time and demands that companies adapt and disrupt their past assumptions.

Let's now see how the business model formula was kept the same through time, but the way business applied it has changed.

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20TH VS 21ST CENTURY BUSINESS MODELS

PRESS INDUSTRY

Let's look at the news industry in the **20th century**. How the three main components of a business model worked?



How would the news industry **create** value? They would have journalists write articles and produce newspapers.

How would they **deliver** this value? They would have paperboys that would go around neighborhoods delivering newspapers.

And how would they **capture** value? They would have companies that would advertise, placing ads in these newspapers.

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Now, what about in the **21st century**? How does the industry news look like today? It's the same three pillars, **creating, delivering, and capturing value**. But it's done in a different way.







So, rather than having journalists create value today, we **create** value, we the users of platforms like Google and Facebook. We are the ones creating content.

The value is being **delivered** on these social platforms, like Google, Facebook, Twitter, Instagram, or Youtube. They are delivering the content that we create.

And how is the value of that delivered content being captured? It's being **captured** through advertisements, through Google Ads, Facebook Ads, Youtube Ads.

The process is still the same but has been updated and innovated in a different way to fit in with the technologies of the 21st century.

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GROCERY STORE INDUSTRY

How was the **grocery store industry** in the **20th century**?



how an organization **creates**, **delivers** and **captures** value.





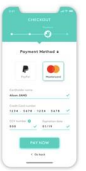
They would **create** value by accumulating all the goods and produce from farmers and butchers into one location. They would **deliver** value by basically allowing people to come into that location and buy whatever they would want in the quantity they needed. And they would **capture** that value in the cash register.

Today, in the **21st century**, companies like Chefsplate and HelloFresh are revolutionizing the way we do groceries.



how an organization **creates**, **delivers** and **captures** value.





Hellofresh **creates** value by suggesting recipes, so you don't

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have to think about the menu. They **deliver** all the recipes ingredients to you, so you don't have to go to a store or physical location. How do they **capture** that value? You subscribe online to a monthly fee on their website with your credit card.

MOBILITY INDUSTRY

How was the **mobility industry** in the **20th century**?



how an organization **creates**, **delivers** and **captures** value.

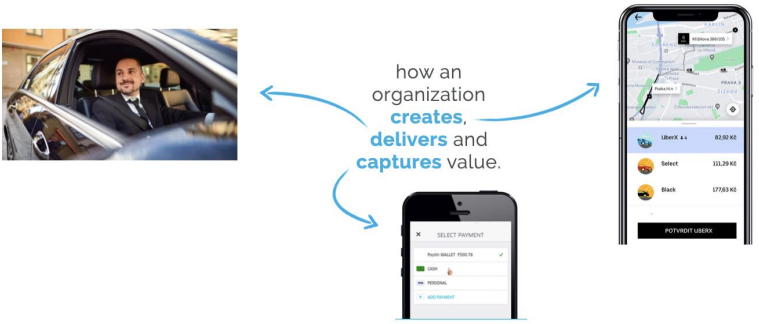




What about the mobility industry in the 20th century? They would **create** value by manufacturing cars in assembly lines. They would **deliver** value by selling people's new cars at dealerships. And they would **capture** that value through cheques or financing.

Today, in the **21st century**, companies like Uber are revolutionizing the way we commute.

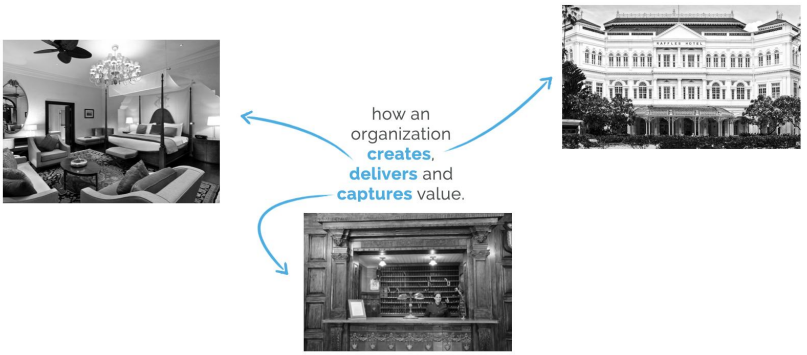
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They **create** value by allowing you to choose where you want to go and what kind of car you need through their app. They **deliver** their value through a network of drivers that offer their vehicles and driving services to take you where you want to go. They **capture** value through your saved credit card in their app. The payment is touchless and automatic after the driver finished the ride.

HOTEL INDUSTRY

How was the **hotel industry** in the **20th century**?

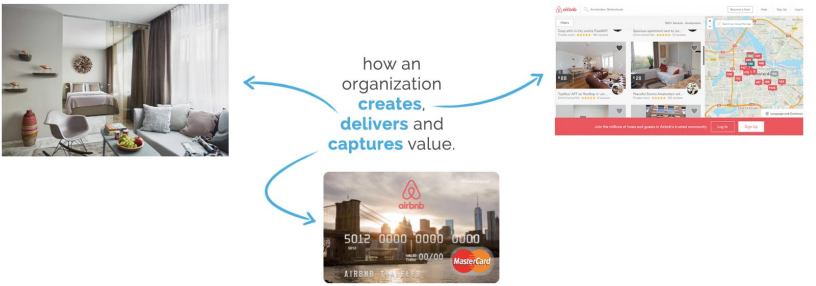


They would **create** value by building significant buildings in

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tourist cities and locations. They would **deliver** value by offering services of short-term rental of rooms and additional services such as spas treatments, restaurants. And they would **capture** that value through daily rates and extra services fees.

Today, in the **21st century**, companies like Airbnb have revolutionized the way we travel and stay in different places around the world.

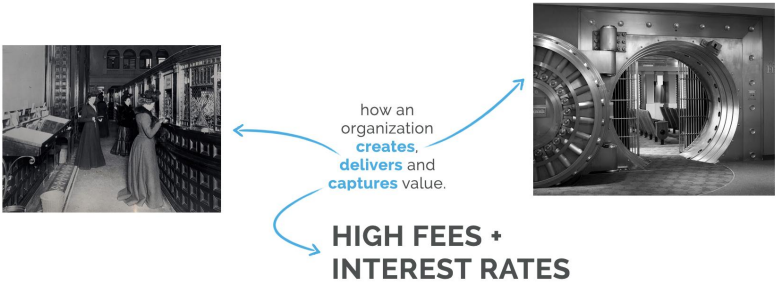


Airbnb **creates** value by allowing you to choose a wide variety of lodging, primarily homestays (rooms or entire houses), or tourism experiences. The company does not own any real estate listings, nor does it host events, so it **delivers** its value by acting as a broker. They **capture** value by receiving commissions from each booking made through their website.

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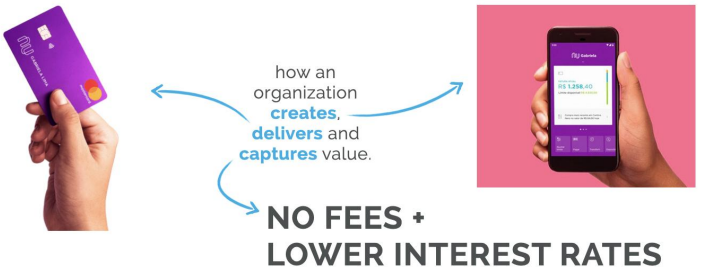
BANK INDUSTRY

How was the **bank industry** in the **20th century**?



They would **create** value by offering safe deposits and interest over investments. They would **deliver** value by building branches with safes throughout the city. And they would **capture** that value through fees and loan interests.

Today, in the **21st century**, companies like NuBank have been revolutionizing the way we bank.



For example, Nubank **creates** value by offering low-cost and straightforward digital accounts without branches, bank managers, or bureaucratic procedures. Nubank **delivers** its value all through an app and a credit card with a simple and intuitive interface. They **capture** value by lower interest rates

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and low cost of maintenance by not owning a single physical location.

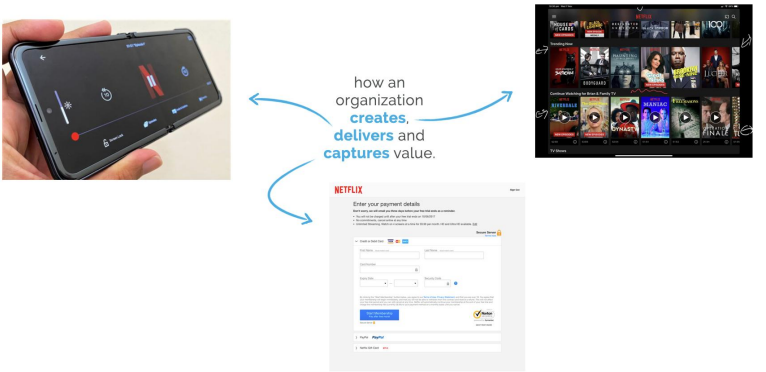
ENTERTAINMENT INDUSTRY

How was the **entertainment industry** in the **20th century?**



They would **create** value by offering different movies at different times in theaters' rooms around the world. They would **deliver** value by displaying movies that customers could watch in comfortable chairs and climatized rooms. And they would **capture** that value through tickets.

Today, in the **21st century**, companies like Netflix and Hulu have been revolutionizing the entertainment industry.

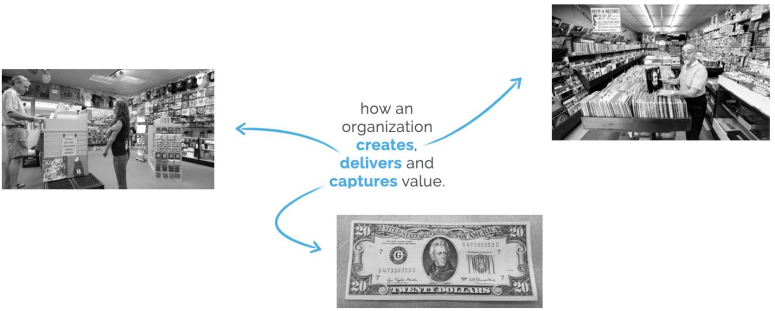


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For example, Netflix **creates** value by offering and a significant number of movies and series from different studios and their productions. Netflix **delivers** its value through an app that can be used in mobile devices, game consoles, and Smart TVs. And they **capture** value by charging a monthly subscription.

MUSIC INDUSTRY

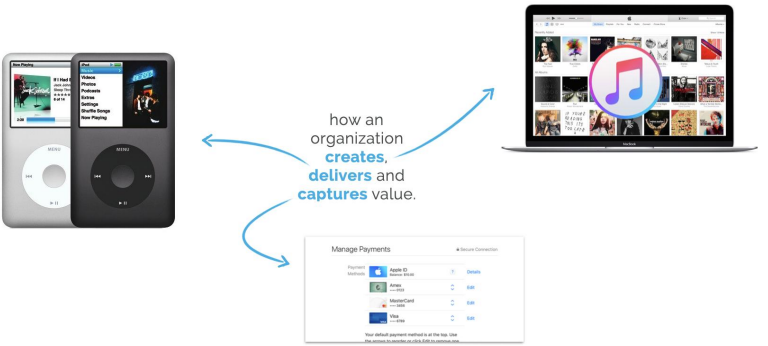
How was the **music industry** in the **20th century**?



They would **create** value through physical stores with a big catalog of vinyl records, tapes, and compact discs. They would **deliver** value by allowing customers to choose record albums that they wanted to listen to. And they would **capture** that value through album sales.

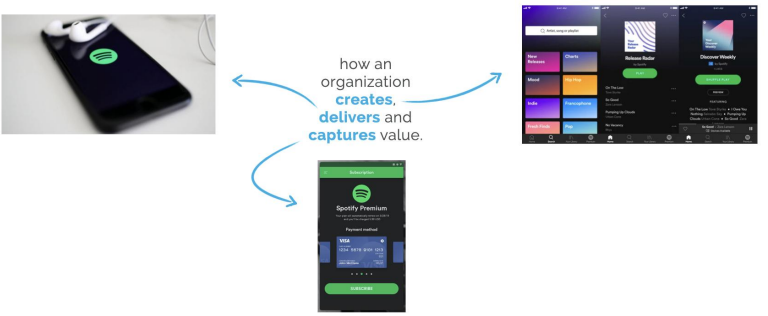
Today, in the **21st century**, companies like Apple and Spotify have been revolutionizing the music industry.

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For example, first, Apple **created** value by offering a big selection of digital music at one click distance in its iTunes store. It **delivered** value through its iPod players. And **captured** value through its per music sales.

But nowadays, Spotify **creates** value by offering access to all the music available in its big selection of digital music and playlists. They deliver value through its mobile and web app. And they capture value through an all-you-can-eat subscription model.



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TRAVEL INDUSTRY

How was the **travel industry** in the **20th century**?



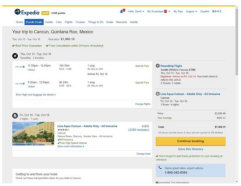
how an organization **creates**, **delivers** and **captures** value.



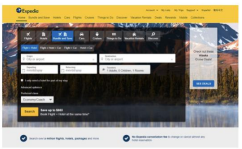


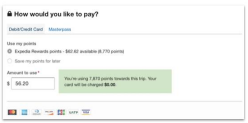
They would **create** value offering physical stores where you could purchase trips to anywhere around the world. They would **deliver** value by travel agents that would help you plan your desired flight. And they would **capture** that value through airline tickets, hotel rates, and trip packages.

Today, in the **21st century**, companies like Expedia have been revolutionizing the travel industry.



how an organization **creates**, **delivers** and **captures** value.





For example, Expedia **creates** value by offering a great variety of flight tickets and packages through its aggregator

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and comparison tool. Expedia **delivers** its value allowing you to design and purchase your trip package. And they **capture** value by charging customers with a credit card.

INVESTMENT INDUSTRY

How was the **investment industry** in the **20th century**?



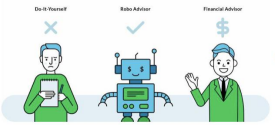
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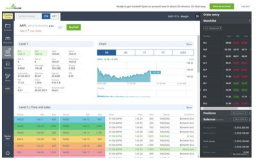
COMISSION + FEES

They would **create** value by advising on stocks to buy and sell. They would **deliver** value by trading stocks with floor traders. And they would **capture** that value through trading fees.

Today, in the 21st century, companies like Questrade have been revolutionizing the investment industry.



how an organization **creates**, **delivers** and **captures** value.



NO OR LOW FEES

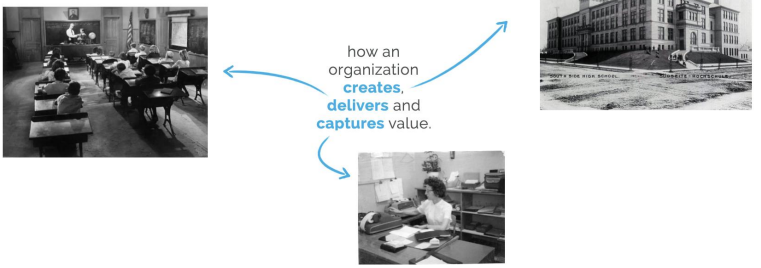
For example, Questrade **creates** value by offering multiple investment products through its website or mobile app.

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Questrade **delivers** its value allowing you to invest yourself or using investment robots that automatically balance your investments based on your profile and market shifts. And they **capture** value by charging low fees.

EDUCATION INDUSTRY

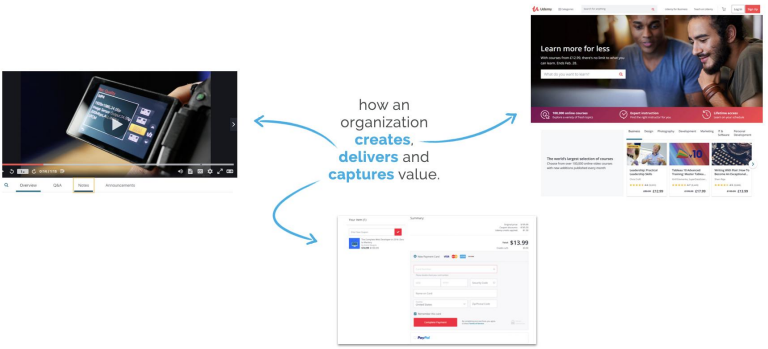
How was the **education industry** in the **20th century**?



It would **create** value by offering classes on campuses filled with classrooms and highly-educated teachers. It would **deliver** value by providing education programs with lectures in classrooms. And it would **capture** that value through tuition fees.

Today, in the **21st century**, companies like Udemy have been revolutionizing the education industry.

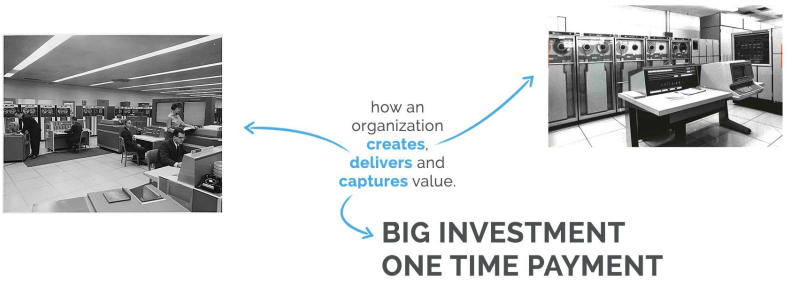
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For example, Udemy **creates** value by offering multiple online courses in a long-tail platform with a massive variety of topics. Udemy **delivers** value through online video classes that can be watched anywhere and at any place. And they **capture** value charging accessible prices per course.

DATA CENTER INDUSTRY

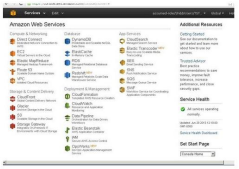
How was the **data center industry** in the **20th century**?



They would **create** value by developing mainframe computers that could handle high-volume data processing. They would **deliver** value by selling and installing these mainframes in customers' headquarters. And they would **capture** that value through high-ticket sales or finance.

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Today, in the **21st century**, companies like Amazon AWS and Microsoft Azure have been revolutionizing the education industry.



how an organization **creates**, **delivers** and **captures** value.



USAGE FEES / SUBSCRIPTION

For example, AWS **creates** value by offering multiple server solutions in a flexible format. AWS **delivers** value using the cloud to provide servers for different applications on demand. And they **capture** value charging per usage fees without any upfront costs.

LAW FIRMS INDUSTRY

How was the **law firms industry** in the **20th century**?



how an organization **creates**, **delivers** and **captures** value.



$$$

They would **create** value by offering a team of experienced and influential lawyers. They would **deliver** value by creating legal documents. And they would **capture** that value through service fees.

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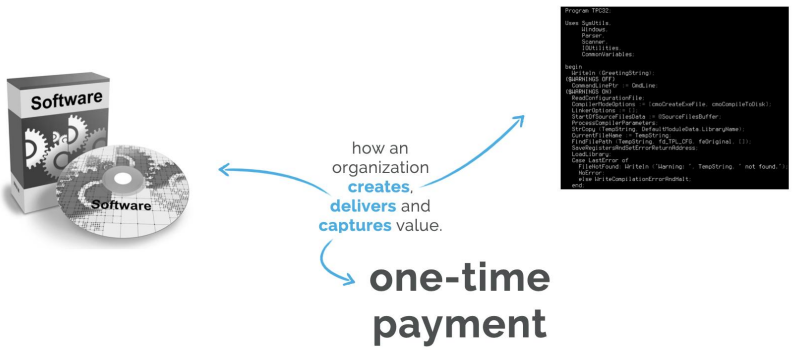
Today, in the **21st century**, companies such as Wonder Legal or Legal Zoom have been revolutionizing the way we create legal documents.



For example, Wonder Legal **creates** value by allowing you to choose a wide variety of legal document templates. They **deliver** their value by a self-service filling process where you create your legal documents in minutes. And they **capture** value by charging a much lower price for the downloadable legal document.

SOFTWARE INDUSTRY

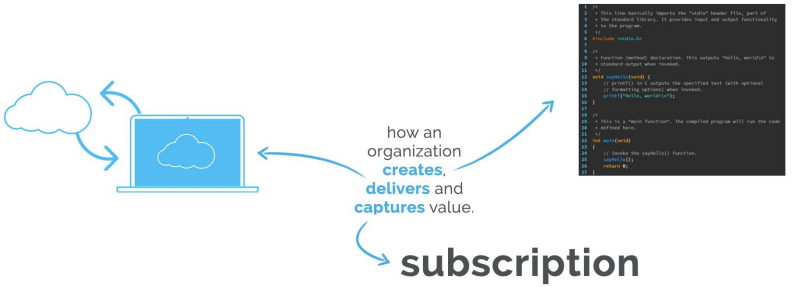
How was the **software industry** in the **20th century**?



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They would **create** value by developing software that would do a specific set of tasks. They would **deliver** value through physical media that could be used to install or run the software locally. And they would **capture** that value selling one-time payment license fees for each software version.

Today, in the **21st century**, companies such as Salesforce or Mailchimp have been revolutionizing the way we use the software.



For example, Salesforce **creates** value by developing cloudbased software. They **deliver** their value through the internet in a software as a service format. And they **capture** value by charging license fees in a subscription model.

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CONCLUSION

The digital revolution has changed how customers perceive and experience value. It has shaped new business models and will continue to evolve and transform industries. There's no way of avoiding it. You either adapt or die.

I hope this guide helped you better understand what value is and how business models worked in the past and how they work nowadays.

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